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EARNINGS CALL
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Palantir Technologies Inc. · 37 turns · 8 participants

CAST (IN ORDER OF APPEARANCE)

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Ryan Taylor
Chief Revenue Officer and Chief Legal Officer

Ryan Taylor
Chief Revenue Officer and Chief Legal Officer

Shyam Sankar
Chief Technology Officer

ANA SARA Finance Team

Good afternoon. I'm Ana Sara from Palantir's finance team, and I'd like to welcome you to our first quarter 2026 earnings call. We'll be discussing the results announced in our press release issued after the market closed and posted on our investor relations website. During the call, we will make statements regarding our business that may be considered forward-looking within applicable securities laws, including statements regarding our second quarter and fiscal 2026 results, management's expectations for our future financial and operational performance, and other statements regarding our plans, prospects, and expectations. These statements are not promises or guarantees and are subject to risks and uncertainties, which would cause them to differ materially from actual results. Information concerning those risks is available in our earnings press release distributed after the market closed today and in our SEC filings. We undertake no obligation to update forward-looking statements except as required by law. Further, during the course of today's call, we will refer to certain adjusted financial measures. These non-GAAP financial measures should be considered in addition to, not as a substitute for, or in isolation from, GAAP measures. Additional information about these non-GAAP measures, including reconciliation of non-GAAP to comparable GAAP measures, is included in our press release and investor presentation provided today. Our press release, investor presentation, and other earnings materials are available on our investor relations website at investors.palantir.com. Over the course of the call, we will refer to various growth rates when discussing our business. These rates reflect year-over-year comparisons almost otherwise stated. Joining me on today's call are Alex Karp, Chief Executive Officer, Shyam Sankar, Chief Technology Officer, Dave Glazer, Chief Financial Officer, and Ryan Taylor, Chief Revenue Officer and Chief Legal Officer. I'll now turn it over to Ryan to start the call.

RYAN TAYLOR Chief Revenue Officer and Chief Legal Officer

The last three months have been some of the most exciting in the history of Palantir as we've watched the whole world begin to see the incredible promise of operational AI as well as the risks, and perils of being beholden to models alone. We achieved 85% year-over-year revenue growth, our highest overall revenue growth rate as a public company, and 16% sequential growth. Our U.S. business, now 79% of total revenue, surpassed 100% year-over-year growth for the first time since our GPO, growing 104% year-over-year and 19% sequentially. Our Rule of 40 score climbed to 145, up from 127 last quarter on absolute AIP dominance. AIP is the only platform that establishes a true AI no-slop zone, a necessary requisite to converting potential AI leverage into compounding real-world value without risking enterprise disaster. As the AIG CEO noted in their recent earnings call, They are deploying AIP to implement a multi-agentic underwriting and claim solution comprised of purpose-built agents ingesting submissions, evaluating risk, benchmarking pricing, and detecting fraud, all coordinated through the ontology. When you want AI to work in production, in a real enterprise, at real scale, where there is no room for slop, there is only one platform, AIP. It is not just the playbook of cutting costs and streamlining processes. AIP is the battle-tested platform that allows the wholesale redefinition of how companies compete within their industries. The depth of our customer commitments reflects that ambition. Referencing our work with Motor and Freedom Mortgage, where we are revamping the end-to-end mortgage process with AIP, the Motor chairman stated, quote, this strategic partnership will reshape the future of our industry. Together, we're building technology that can help improve affordability, lower borrowing costs, and expand access to homeownership for millions of Americans.

RYAN TAYLOR Chief Revenue Officer and Chief Legal Officer

Our U.S. commercial business grew up to the compounding real value created for our customers.

RYAN TAYLOR Chief Revenue Officer and Chief Legal Officer

For example, on the back of the 26% increase in engine production with AIP, GE Aerospace deepened their partnership with Palantir last quarter to deploy agentic AI-powered solutions across their production system and military aviation supply chain with a shared mission of ensuring that more aircraft remain available to train America's next generation of U.S. Air Force pilots. ONDIS and Worldview expanded their work with Palantir to bring AIP to the stratosphere and build the operational backbone required to scale their missions. They noted, quote, Palantir-powered workflows don't just make one launch faster, they make dozens or a hundred simultaneous launches possible with the same operational efficiency. Load-bearing institutions upon which the West depends know, or will soon know, that our AI platforms are the indispensable means of delivering their must-win operations. an upshot of our transformational work across every domain. The foundation remains our deployment of Maven Smart System to empower our troops. As the Chief Digital and AI Officer at the Department of War noted, quote, I care about one thing and one thing only, that the 18, 19, 20-year-old kid who had no choice in where he went or what threat he was facing, I want him to win and come home. That's why we do it. Palantir is very helpful in delivering this. Beyond Maven, ShipOS, in partnership with the Department of the Navy, has produced remarkable impact at several manufacturing industrial-based suppliers already, including dropping manufacturing bill of materials approval time from 200 hours to 15 seconds, increasing speed of contract review cycles by 57% to 73%, and reducing monthly material planning time by 94%. Just as commercial organizations are reshaping their industries, Chip OS is the reinvention of America's maritime industrial base. This is just the start of how our support of manufacturing processes will transform existential programs for the U.S. government. In fact, we've already seen the government step in to transition and scale a successful private sector manufacturing program we're supporting. On the civil side, the USDA awarded Palantir a contract of up to $300 million last month to provide USDA with capabilities to support American farmers, secure farmland, enhance supply chain resilience, and shield agricultural programs from fraud, abuse, and foreign adversary influence. In government and commercial, Palantir is transforming how load-bearing institutions operate and how they win. I'll now turn it over to Sean.

SHYAM SANKAR Chief Technology Officer

Thanks, Ryan. For over two years now, we've been saying that while LLMs are improving, models are converging, and the cost per token continues to drop precipitously. GPT-4 equivalent performance that costs $20 per million tokens in early 2023 is now approximately 1,000 times cheaper three years later. Because of this increased efficiency, use case demand for tokens is exploding. Our AIP workflows today utilize vastly more tokens, agents orchestrating across the ontology, training reasoning, pool use, retrieval, and execution. And it's growing. This is Jevon's paradox. It's the single most important dynamic in enterprise software right now. When the Victorians built more efficient steam engines, everyone assumed coal consumption would fall. Instead, it skyrocketed. Cheaper transport meant more demand for transport. Tokens are the new coal. AIP is the train. As inference gets cheaper, the number of tasks that you can economically assign to AI grows exponentially.

RYAN TAYLOR Chief Revenue Officer and Chief Legal Officer

Precisely because tokens are so much cheaper, agents close, call tools, self-correct.

SHYAM SANKAR Chief Technology Officer

But in practice, the number of tasks that you can trust a model without the right harness exponentially declines. More tokens means more slop. And the more commodity cognition you consume, the more you need a system that can prevent the economic harm so you can harness the economic value. That system is AIP. That intermediary representation is the ontology. This is also why we are seeing the death of legacy software. AIP replaces static workflows not by replicating the playbook, but by eliminating the need for one. Thomas Cavanaugh Construction, 97% of their employees use Foundry every day. And every other piece of software must now justify its existence. And so far, they haven't been able to. We're seeing this internally, too. This quarter, we replaced our old, expensive CRM with an AI-first solution built on AIP in a few months that users absolutely love. Our customers are seeing the real value is not automating what you already do. It's doing what was previously impossible. A major telco set out to automate 10 million customer calls a year. The real insight was that the most dissatisfied customers never call. They churned silently. The reframe was counterintuitive. Don't use AI to reduce calls. Use it to generate them. An AI advocate that proactively calls on every customer's behalf. The point is simple. Use AI to do more work. Work that was never economically feasible before AIP. For every agent action, our customers need to answer three questions. Who authorized this? What did it cost? Can I trust what it did? These questions need exact answers with precision. There's no tolerance for slop. We're building a platform-native agent-engine SDK, a single set of primitives for building, persisting, governing, and operating ontology-native agents. A common layer that lets you visualize every agent in your enterprise and control it, regardless of how it was built. A true agent operating system. On top of that, unified cost attribution per agent, per session, per workflow, with administrative caps. Full provenance, so every ontology mutation traces back to the agent and reasoning chain that produced it. Security marking propagation from input data through agent sessions onto all output with approval gates for any workflow that could reclassify information. That's how you get a CISO, a CFO, and a combat commander to say yes. AIP is the no-slop zone, the platform where every agent action is governed, attributed, and auditable. Turning to U.S. government, on the foxhole side, Maven met its moment across real-world events in Q1. Usage has doubled in the past four months through the end of March and is now 4X over the past 12 months across the services, the combatant commands, the joint staff, and the intelligence community. When the stakes are highest, when failure is measured in lives and readiness, this is where we are uniquely positioned. On the factory floor side, the demand on the defense industrial base to ramp production and sustainment has been so acute that we have surged resources from our commercial business. This is exactly what Warp Speed was built for, modernized American manufacturing. And we're doing just that, where it counts the most. AIP is the default builder platform in the Department of War, with thousands of developers using AIFD, migrating legacy systems, standing up new capabilities, solving problems that used to require contractor teams and months of lead time. Our software is becoming the most malleable and responsive weapon system for the Joint Force. Finally, what's now clear is that Nethos and Spud and even other current generation models with AIP are capable of finding novel vulnerabilities in complex cyber kill chains. They have discovered thousands of zero days in major operating systems and browsers. This is the Spudnik moment in the AI arms race. The rate of vulnerability identification is about to skyrocket. Finding the bugs is no longer the limiting factor. Rapid-fire remediation with exact precision, immediacy, and absolute certainty is the new hard problem. Knowing exactly what versions of what software are running where and closing the remediation chain autonomously. Apollo was built for exactly this. We're shipping the next generation of Apollo as we help our customers reposture for this world. And note the Jevons paradox dynamic here, too. More AI means more code. More code means more slot. More slot means more attack surface. More attack surface means more vulnerabilities. And more vulnerabilities means more Apollo. I'll turn it over to Dave.

DAVE GLAZER Chief Financial Officer

Thanks, Sean. We had an outstanding first quarter delivering our strongest ever Q1 sequential growth rate of 60% and our highest ever reported year-over-year growth rate of 85%. Our revenue growth rate accelerated for the 11th consecutive quarter, highlighting the durability of the growth of our business at scale. We expanded our Rule of 40 score by 18 points quarter over quarter from 127 in Q4 to 145 in Q1. Our U.S. business achieved triple-digit growth for the first time, driven by accelerating demand for our AI platform. Revenue in our U.S. business grew 104% year over year and 19% sequentially in the first quarter. Our U.S. commercial business grew 133% year-over-year and 18% sequentially, and our U.S. government business grew 84% year-over-year and 21% sequentially. On the back of this continued strength in the U.S., we are raising our full-year 2026 revenue guidance midpoint to $7.656 billion, representing 71% growth year-over-year, a 10-point increase over our full-year 2026 revenue guidance from last quarter, and our largest-ever full-year revenue guidance raise. Turning to our global top line results. First quarter revenue grew 85% year over year and 16% sequentially to $1.633 billion. First quarter U.S. revenue grew 104% year over year and 19% sequentially to $1.282 billion. Customer count grew 31% year over year and 6% sequentially to 1,007 customers. Revenue from our largest customers continues to expand. First quarter, trailing 12-month revenue from our top 20 customers, increased 55% year-over-year to $108 million per customer. Now moving to our commercial segment. First quarter commercial revenue grew 95% year-over-year and 14% sequentially to $774 million. We closed $1.3 billion in commercial TCE bookings in the first quarter, representing 42% growth year-over-year. Our AI platform dominates U.S. markets as the only real choice for deploying AI models operationally in a way that actually works. First quarter U.S. commercial revenue grew 133% year-over-year and 18% sequentially to $595 million. This exceptional growth even understates our U.S. commercial momentum. As Ryan noted, we had a successful U.S. commercial customer program transition to a U.S. government customer. Absent this transition, U.S. commercial growth would have been 143% year-over-year and 22% sequentially. In Q1, we closed our third consecutive quarter of over $1 billion in U.S. commercial TCV bookings at $1.2 billion, representing growth of 45% year-over-year. Over the past 12 months, we closed $4.7 billion of U.S. commercial TCV bookings, a 115% increase from the prior 12 months, highlighting the accelerating demand for AI that creates real operational value. Total remaining deal value in our U.S. commercial business grew 112% year-over-year and 12% sequentially. Our U.S. commercial customer count grew to 615 customers, reflecting growth of 42% year-over-year and 8% sequentially. First quarter international commercial revenue grew 26% year-over-year and 5% sequentially to $179 million. Revenue from strategic commercial contracts was $3 million for the quarter, representing 0.2% of overall revenue. We expect revenue from these contracts to be less than half a million dollars in each remaining quarter of this year. Shifting to our government segment. First quarter government revenue grew 76% year-over-year and 18% sequentially to $858 million. First quarter U.S. government revenue grew 84% year-over-year and 21% sequentially to $687 million. This growth was driven by continued execution in existing programs and new awards reflecting the growing demand for AI platform in government. First quarter international government revenue grew 51% year-over-year and 7% sequentially to $172 million. We closed $2.4 billion of TCV bookings, up 61% year-over-year. On a dollar-weighted duration basis, TCV bookings grew 135% year-over-year. Net dollar retention was 150%, an increase of 1,100 basis points from last quarter. The increase was driven both by expansions at existing customers and new customers acquired in Q1 of last year as load-bearing institutions continue to turn to Palantir's battle-tested AI platform. As net dollar retention does not include revenue from new customers that were acquired in the past 12 months, it does not yet fully capture the acceleration and velocity in our U.S. business over the past year. We ended the first quarter with $11.8 billion in total remaining deal value, an increase of 98% year-over-year and 6% sequentially, and $4.5 billion in remaining performance obligations, an increase of 134% year-over-year and 9% sequentially. As a reminder, RPO is primarily comprised of our commercial business, as it does not take into account contracts with an initial term of less than 12 months and contractual obligations that fall beyond termination for convenience causes, both of which are common in most of our government business. Turning to margin and expense. Adjusted gross margin, which excludes stock-based compensation expense, was 88% for the quarter. Adjusted income from operations, which excludes stock-based compensation expense and related employer payroll taxes, was $984 million in the quarter, representing an adjusted operating margin of 60%. Q1 adjusted expense was $649 million, of 7% sequentially and 32% year-over-year, primarily driven by the continued investment in our AI platform and technical hiring. We continue to expect expenses to ramp in 2026 as we remain committed to investing in the product pipeline and the most elite technical talent, all while delivering on our goals of sustained GAAP profitability. GAAP net income was $871 million, representing a 53% margin. First quarter stock-based compensation expense was $202 million, and equity-related employer payroll tax expense was $28 million. First quarter gap earnings per share was $0.34. First quarter adjusted earnings per share was $0.33. Additionally, our combined revenue growth and adjusted operating margin accelerated to 145% in the first quarter, an 18-point increase to our Rule of 40 score from the prior quarter, and our 11th consecutive quarter of an expanding Rule of 40 score. With our 2026 revenue and adjusted operating income guidance, we are guiding to a Rule of Forty score of 129% for the full year. Turning to our cash flow. In the first quarter, we generated $899 million in cash flow operations and $925 million in adjusted free cash flow, representing margins of 55% and 57%, respectively. We ended the quarter with $8 billion in cash, cash equivalents, and short-term U.S. Treasury securities. Now, turning to our outlook. For Q2, 2026, we expect revenue of between 1.797 and 1.801 billion and adjusted income from operations of between 1.063 and 1.067 billion. For full year 2026, we're raising our revenue guidance to between 7.650 and 7.662 billion. We're raising our U.S. commercial revenue guidance to an excess of 3.224 billion, representing a growth rate of at least 120%. We are raising our adjusted income from operations guidance to between 4.440 and 4.452 billion. We are raising our adjusted free cash flow guidance to between 4.2 and 4.4 billion. And we continue to expect GAAP operating income and net income in each quarter of this year. With that, I'll turn it over to Alex for a few remarks and then on a look at the Q&A.

ALEX KARP Chief Executive Officer

Well, welcome to yet another exciting earnings call. With these numbers, the ones that leap out to everyone are the over 100% growth in the U.S., the rule of 145, the 85% growth in the U.S., and guiding to 71%. and just the underlying dynamics of that, you would think that the most interesting thing is just the truly end of one nature of these numbers. And in fact, it is pretty fascinating, especially people who've doubted that we get this far. But I think the most important thing about our earnings is it establishes beyond a doubt that while over the history of Palantir, we focused on things that actually, actually transformed the world. And the current environment is actually being transformed by the Palantir platform. And although there's a wide view out there in the world that AI slop is going to take over the world, our clients especially.

RYAN TAYLOR Chief Revenue Officer and Chief Legal Officer

primordial infrastructure industries.

ALEX KARP Chief Executive Officer

No, this is not the case. They buy our product despite the fact we have 70 salespeople. A normal company of our size would have 7,000. Only seven of our salespeople actually even really sell. We are doing what a normal company would do with 7,000 salespeople with seven people. We're doubling the U.S. We are dominating on the battlefield. Sean will talk about this later. But the way... opposed in a contradiction to both allies and friends and enemies, is being done in our platform from beginning to end across the US. The reality that we will be able to drive 100% growth in the US is being driven by the fact that our customers either know or will know that you need actual results. Those results require granularity, specificity, actual relationship to facts. The appearance of software working is not software working. And it's the slop that is getting a lot of attention is not only dangerous in terms of the hyperbolic rhetoric that also, like, there will be no jobs because of the slop. Nothing will work. We will have a godlike figure in the name of AI. When, in fact, what actually does work is a platform built by a motley crew of highly technical people who, over 20 years, have been maligned for being right about the nature of having to build Foundry, the nature of having to build Apollo, the nature of an FDA.

RYAN TAYLOR Chief Revenue Officer and Chief Legal Officer

And that...

ALEX KARP Chief Executive Officer

And the demand for this is once in a lifetime. And that demand is actually driving these financials, meaning growing... 71% goal for the year. What did we miss? Okay. Any case... I hope you guys got that. Wow, this is like being on stage. Yes, so with that, maybe we'll go to questions. But the unique way in which this company is being run, the unique way in which the way we built the products, the unique way in which we're willing to be non-mimetic. When the whole world said software had to be worthless, we built platforms that worked. When the whole world said you could not extend it with FDEs, we went and built FDEs. When the whole world is saying AI swapped without an ontology that allows you to put true statements and truths into the ontology and therefore produce actual results, we stuck to our guns. And what did we get? We got these results. And I think if you just look at the results, how can a company grow 100% in the U.S. with functionally a non-existent sales force with the same number of people? Our free cash flow this quarter is larger than our revenue a year ago in the same quarter. Think about that. Same company, same people, extenuated products. It's all being extended. And then look at the impact on the battlefield in the Middle East. on every government institution, on demand of our product, and in U.S. commercial. This is all the result of being right about product, right about execution, and standing in the headwinds of people who are certain they're right. Now the new version is AI swap and proving that they're wrong with our results. This is an incredible quarter, and I'm very proud of this.

ANA SARA Finance Team

Well, thanks Aiden for the question.

SHYAM SANKAR Chief Technology Officer

Well, it's a massive tailwind for us because we've always been counter-positioned against this sort of legacy thin software, you know, that kind of was built by and execute a playbook that's built around rent extraction and no outcome delivery. We, on the other hand, have been focused entirely on building software that's focused on alpha and not beta. We're not trying to make you the same as every other person. We're trying to figure out what makes you different, how do we express your business strategy through the software platforms and products we build. So that part is probably obvious, that counterpositioning. But the other counterpositioning is against AI slop. We are focused on enterprise autonomy, not on dazzling demos. We have in the ontology the no-slop zone. The ontology is the body to the AI brains. You can't actually interact with the enterprise or affect the world. Your agents can go nowhere without ontology. And you're seeing that with our customers. In government, we are the platform that you build applications and agents on. In the commercial world, people are replacing legacy software at a lightning fast pace, as I mentioned in my remarks. And we see that even internally at Palantir where we've gotten rid of legacy software like CRM, built it very quickly on top of our platform to a user experience that our users love.

ALEX KARP Chief Executive Officer

You know, almost every single highlighted example of AI that actually is producing results in the U.S. is actually Palantir by Palantir. One of the ways to pen test what we're saying is just dig into the examples of AI actually transforming an enterprise. call the client talk to them i'm not saying every single one is but almost every single one is and it's and it is because the theory of what how you do ai and the practice and the enterprise are just radically different and they look the same to non-technical people but they do not look the same to practitioners whether you're on the battlefield or whether you're an insurance company or whether you're a hospital or whether you're a manufacturer What they discover is the reality of doing this requires a platform like Ontology and currently executed on top of Foundry with FTEs. And currently that combination is available from one company, and that is us.

ANA SARA Finance Team

Thank you. Our next question is from Dan with Wedbush. Dan, please turn on your camera, and then you'll receive a prompt to unmute your line.

DAN Wedbush Analyst

Yes. Yeah, thank you. Well, great quarter yet again. But my question is, how do you balance between going after government deals and then commercial deals? Because obviously, you know, you're in a unique position, just like we saw with that deal this quarter. Can you talk about that balance? Because obviously, there's more demand and supply in terms of relative, in terms of pound tier. Thanks.

ALEX KARP Chief Executive Officer

Maybe we'll talk to Ryan. So the reality of how Palantir works is we position and prioritize the U.S. warfighters over everything else. And when we believe or know because of our proximity that the U.S. warfighter is in danger, we put the whole company against it. And it is not always the way in which one should do this, but it is how we do it. And we've done this from the beginning and we're doing it now. And so in the current context, we take opportunities that look the same from a business perspective. And we 100% prioritize this nation's security over any other variable. That also, interestingly, gives us leverage because we go to the government and one thing people don't believe is we're like, look, this doesn't work the way you think or this kind of execution will not lead to success. And you are actually asking us to take money out of our pocket to do it, which we will do. But we cannot sign up to do something that won't work, that will not advance the warfighter, that will not advance munitions, that will not help this country have better unit economics while just hurting or deprioritizing another client. By the way, we tell commercial clients this. I tell commercial clients this all the time. We are highly monogamous clients. in the way we work. We are not trying to make you into a commodity. The only thing we will put above you is the U.S. national security. And, by the way, we're more than willing to do this when it is unpopular or when it's popular. And that's, if you look at the retention and the full alignment inside Palantir, the benefit of this is we just attract and retain people that understand there's a higher value than just running the business as a business. That said, our biggest problem currently is demand in the U.S. I believe we will have 100% growth in the U.S., is that we just cannot meet demand. And, again, the advantage here is we can go to commercial and government clients and say, look, This doesn't make sense. If you want slop, you can go here. If you want old school software that actually doesn't work and probably will disappear, there are a lot of names. If you want us, we need to do it in a way that will make sense. And that gives us a lot of leverage. But we're very upfront with people. We're just like with our customers and just like we are internally. And... And we're also doing this abroad. You know, one of the reasons why we're intolerant of software and AI or some kind of witchcraft dance that you have in some parts of continental Europe is we have no time for it. We literally have no time or no energy for the waste of time machine. Probably I should be on TV explaining to people why the models are actually only useful on a platform, why the use cases platform companies are talking about are actually in Palantir, why the cost and token reduction token price is exactly what we predicted, why our clients actually are asking, can I have a cheaper model since they seem pretty similar? But we also don't have a lot of time for that. Would you like to add to this now that we're on the mic?

RYAN TAYLOR Chief Revenue Officer and Chief Legal Officer

I'll just say, yeah, what we're seeing across our customers, and this is what's driving the U.S. generally, is those that understand the load-bearing context. In order to apply AI in that context, you need to be able to deploy it with precision, without flop. And you see, like, the AIG CEO talking about the agentic underwriting and claims process that's being coordinated through the ontology. These are all really massive undertakings. We're going deep with our customers, and we're having that level of impact, and that's what really is driving us.

ANA SARA Finance Team

Thank you. Our next question is from Mariana with Bank of America. Mariana, please turn on your camera, and you'll receive a prompt to unmute your line.

MARIANA Bank of America Analyst

Hello, everyone. I hope you guys hear me. I don't know if you are going to be able to see me. I'm going to start off this little while. I'm going to do three questions today. Number one, When AI started, you guys, you have some customers that wanted to do it their way. And what's happening right now with the AI labs getting into enterprises? Like how many customers understand that value? Or how many are the niche customers that like understand it and are actually advancing faster? But you also have some that are still like just, I don't know, trying with just Amtropic, Gemini, like OpenAI. They all have enterprise solutions now. Alex, you mentioned talent. How easy or hard is it actually to get the right engineers to keep being able to incorporate all that to the outcomes that we are looking for? And the second one on defense, because it's where my heart is always... You got a good call-out on Maven in the presidential budget request. Maven is one of the two pillars for .C2. Titan is moving to production, and that is amazing news, but this is an election year. How much of that growth depends on that budget being appropriated and how much you can actually keep growing if we were to see an extended continual resolution?

ALEX KARP Chief Executive Officer

Well, the talent question is the Palantir is famous for having the best talent over a very long period of time. It's a super competitive environment. I think most the whole world wants to either work a Palantir or a lab. The advantage that we have at Palantir is if you If you come to Palantir, you learn how to build something that is truly unique. And quite frankly, if you want to leave Palantir, you can have any job in the world. And so I think that talent race is going to continue. The thing about being at Palantir is it's a very high pressure, very unique environment where we need people who are willing to do things that are different than anyone else. And where, although we're nine-tenths of the world loves us, one-tenth of the world professionally hates us. So someone on your social graph is definitely going to call you up and say, how can you do all this important work in Israel or the Department of War or other places? even though we've powered every administration basically since in existence, not at this scale, obviously. So that's an ongoing thing. I am pretty confident that we will continue to attract and retain some of the best talent in the world, and we're seeing a ramp up in that. I am now personally sitting across recruiting. I'm particularly interested in neurodivergent people of all kinds. People who are neurodivergent enough that they get up and come to this country and do important, valuable work. And we see a lot of, yeah, and so like we're really, we find a lot of our allies have chosen to come to America and chosen to come to Palantir. We like that. But it is an ongoing battle. There really are a couple options in the world that make sense. Palantir is obviously one of them. And we're very, very unique countries. I would also say the more we produce these numbers and the more we have actual experience on the battlefield in an enterprise, one of the things we're going to do an increasingly frontal job of doing is you can join the startup that probably is not going anywhere. Everyone kind of on the inside knows venture is kind of not doing well.

RYAN TAYLOR Chief Revenue Officer and Chief Legal Officer

Or you could come to Pound.

ALEX KARP Chief Executive Officer

But it is an ongoing, everyday battle. Everybody wants a Palantirian. When we started this, I mean, a couple years ago, I was saying Palantir is the most important degree in the world. The problem for us is it is the most important degree in the world, and everyone knows it now. Thanks also because we got fair coverage and because, you know, I mean, we probably are, because of our domination here, somewhat undervalued. But people know that we actually are changing the world, and we're probably somewhat undervalued, so it's a great place to go. On the defense side, I'll leave it to Sean to talk now that we're doing our... Yeah, on the defense side, it's been a very active period.

SHYAM SANKAR Chief Technology Officer

It's not just Maven and Titan. There's also the work that we're doing on production across major weapon systems for the department, work around the Sputnik moment right now. So there's a lot going on that one should be pretty excited about. The department's pulling as much of that into 26 as possible. History will suggest, of course, we're going to be in a CR because most time since Palantir's existed, there's always been a CR. So there are certain things that are outside of our control, but I feel very good that the role we're playing, the stakes are very high. What we're providing is existential to actually moving the department forward, and we'll realize that value. On the AI lab side, the enterprise side here, you know, I think one of the privileged positions we live in is at the limits of what the models can do. I think one of the challenges for the labs is that all they see are the limitless potential as opposed to living at the edge of where does it translate into economic value. And you see that with, you know, I wish everyone the best with building out deploy code, but it's essentially how do I take Palantir and try to replicate that What we do is very unique based on how we've organized ourselves and the tension between FD and product development. And we have these out-of-body experiences. There's at least two labs we can think about where they were talking about two different customers that they're working with and how it's transformed X or Y. Yeah, it did in AIP.

RYAN TAYLOR Chief Revenue Officer and Chief Legal Officer

We did that. I just add to that point.

ALEX KARP Chief Executive Officer

The best thing that can happen to this company and maybe this country is, you know, of course they should go out and flirt with all this slop. Mostly they come home to pound here. They don't have to all come home to pound here. We have limits. But go test it out. Go see how easy it is.

RYAN TAYLOR Chief Revenue Officer and Chief Legal Officer

I mean, they're creating the market for us. Easy it is to make these things work. Great.

ALEX KARP Chief Executive Officer

And then compare what you're delivering to what we're delivering. You know what? My version is we don't have to have all the market. We are at our limit doing 100% this year, which I am going to drive the company to, and maybe we can do 100% next year in the U.S. You know? That's all we can do. You know, and they can just expose the market to their beautiful, shiny appearances. And we'll just expose the market to how we will transform your enterprise. That's how it's going to go down. And by the way, I'm always telling people inside the company, everybody wants to be you. You just may not know it. They're all trying to do Polico, Stoico, Disco. It's because in the end of the day, they need to have growth with profit. But you can't have profit if you're not changing the dynamics of the partner you work with, meaning your customer. It is downstream from the value you create, and that's how Palantir did it. We're very comfortable in that zone. Now, I do think this is going to be, we're going to end up with a different term for software. You can't lump what we're doing. We're really providing infrastructure and installation of AI infrastructure. Look, if your company is largely running around and offering steak dinners with something that someone can, you know, hack and rebuild in a week, yes, you're going to have a huge profit.

RYAN TAYLOR Chief Revenue Officer and Chief Legal Officer

that don't make sense.

ALEX KARP Chief Executive Officer

They're under huge pressure. And that's one of the reasons we're at the forefront. I mean, can you believe we're at the forefront of almost every discussion in the world? And it's simply because we're powering almost everything that works. Not everything. There's some other great companies out there. Many of them are not well known and we should help publicize them. And that's where we're at. And that's what these numbers show. You don't have to believe us. Believe your non-lying eyes.

ANA SARA Finance Team

Thank you. Alex, as always, we have a lot of individual investors on the line. Is there anything you'd like to say before we end the call?

ALEX KARP Chief Executive Officer

Well, to individual investors and Palantirians who are also individual investors, Being on the front line of important things is painful. You get yelled at occasionally. Many of the people yelling at you have no clue what they're saying. Some of the people do have a clue what they're saying and just disagree with the West being strong and more efficient and more moral and having better unit in economics or, quite frankly, are...

RYAN TAYLOR Chief Revenue Officer and Chief Legal Officer

We value your support, and we value your defense of us.

ALEX KARP Chief Executive Officer

We are defending you every day, every day, and that's in great part what drives these results. And we are having some fun doing it too, just so you know. And hopefully you'll have some fun. Thank you for your support, and we will see you next quarter.

ANA SARA Finance Team

Thank you. That concludes Q&A for today's call.